6-6b Inventory on the Balance Sheet

Inventory is usually reported in the "Current assets" section of the balance sheet. In addition to this amount, the following are reported on the balance sheet or in the accompanying notes:

- The method of determining the cost of the inventory (FIFO, LIFO, or weighted average)
- The method of valuing the inventory (cost or the lower of cost or market)

The presentation for inventory for **Best Buy Co., Inc. (BBY)** within the "Current assets" section of the balance sheet and accompanying notes is as follows:

Link to Best Buy

Best Buy Co., Inc.
Balance Sheet
February 2
(in millions)

Assets

Current assets:		
Cash and cash equivalents		$1,980
Accounts receivable	$1,038	
Allowance for doubtful accounts	(23)	
Accounts receivable, net		1,015
Merchandise inventories		5,409
Other current assets		466
Total current assets		$8,870

Notes to Financial Statements:

Merchandise Inventories

Merchandise inventories are recorded at the lower of cost or net realizable value (market), and the weighted average cost method is used to determine the cost of inventory.

Source: Best Buy Co., Inc., *Form 10-K for a Recent Fiscal Year Ended February 2* (adapted).

It is not unusual for a large business to use different costing methods for segments of its inventories. Also, a business may change its inventory costing method. In such cases, the effect of the change and the reason for the change are disclosed in the notes to the financial statements.